4711115

DECLARATION OF

CONDOMINIUM NO. 275

SUMMERHILL CONDOMINIUM

This Declaration, is made in the County of Hennepin, State of Minnesota, on this 17th day of March, 1982 by Summerhill Associates, a Minnesota partnership (the "Declarant"), pursuant to the provisions of Minnesota Statutes Sections 515A.1-101 to 515A.4-118, known as the Uniform Condominium Act, and amendments thereto (the "Act").

WHEREAS, Declarant is the owner of certain real property located in Hennepin County, Minnesota, legally described in Exhibit A attached hereto and made a part hereof, and Declarant desires to submit said real property and all improvements thereon (the "Property") to the provisions of the Act, and,

WHEREAS, Declarant owns certain Additional Real Estate contiguous to the Property, as described in Exhibit C, and intends to subject such real property to the covenants and restrictions contained herein at a later date and,

WHEREAS, Declarant desires to establish a plan for a permanent residential community to be owned and operated for the health, safety and welfare of its resident Unit Owners and Occupants and for the purpose of preserving the value and aesthetic character of the Property and any Additional Real Estate annexed thereto.

WHEREAS, the Property and Additional Real Estate are not subject to municipal or other local ordinances restricting or regulating the condominium form of ownership as provided in Section 515A.1-106 of the Act, because the Property does not constitute a "conversion condominium" within the meaning of the Act.

THEREFORE, Declarant makes this Declaration and submits the Property to the Act under the name "SummerHill Condominium", initially consisting of 58 separate Units as provided in Article II, specifying that this Declaration shall constitute covenants to run with the Property, and that the Property and all Units which are a part thereof shall be used, held, sold, conveyed and occupied subject to the covenants, restrictions, easements, charges and liens hereinafter set forth, all of which shall be binding upon all Persons having any right, title or interest therein, and their heirs, personal representatives, grantees, successors and assigns.

ARTICLE I

DEFINITIONS

The definitions contained in Section 515A.1-103 of the Act shall apply to the corresponding words and terms used in the Governing Documents, except that certain words and terms used in the Governing Documents shall have the following meaning:

1. "Additional Real Estate" The real property legally described in Exhibit C, including all improvements constructed or to be constructed thereon, and all easements, rights and appurtenances belonging thereto.

2. "Association" SummerHill Association, Inc., a corporation formed pursuant to Section 515A.3-101 of the Act, and the Minnesota Non-Profit Corporation Act (Minnesota Statutes Chapter 317), whose Members consist of all Unit Owners, acting in accordance with the Governing Documents.

3. "Buildings" The structures which are or become a part of the Property and contain the Units, including those located on any Additional Real Estate which is added to the Property.

4. "Board of Directors" The Board of Directors of the Association.

5. "By-Laws" The By-Laws governing the operation of the Association.

6. "Common Elements" All portions of the Property except the Units, as more fully described in Article V.

7. "Common Expenses" Expenditures made or liabilities incurred by or on behalf of the Association, together with any allocations to reserves.

8. "Declaration" This instrument as from time to time amended, by which the Property is submitted to the provisions of the Act.

9. "First Mortgagee" A Person that is an eligible holder of an eligible mortgage within the meaning of the regulations of the Federal National Mortgage Association ("FNMA") or the Federal Home Loan Mortgage Corporation ("FHLMC") owning a mortgage on any Unit, which mortgage is first in priority upon foreclosure to all other mortgages which may affect such Unit, or a lender that is an eligible holder of an eligible mortgage as aforesaid in possession of a Unit following a default in a first mortgage, a foreclosure proceeding or any deed or other arrangement in lieu of foreclosure.

10. "Floor Plans" The plans depicting the Property pursuant to the requirements of 515A.2-110 of the Act, including any amended or supplemental Floor Plans recorded from time to time in accordance with the Act.

11. "Governing Documents" This Declaration and the Articles of Incorporation and By-Laws of the Association.

12. "Limited Common Elements" Those Common Elements, such as balconies, and decks as described in this Declaration and shown on the Floor Plans, which are allocated to certain Residential Units for the exclusive use of the Owners and Occupants thereof.

13. "Occupant" Any Person or Persons other than a Unit Owner, in possession of or residing in a Unit.

14. "Person" A natural individual, corporation, partnership, trustee, or other legal entity capable of holding title to real property.

15. "Phases" The stages of development by which the Declarant subjects the Property to the Act and by which Declarant may add Additional Real Estate to the Property pursuant to Article III, Section 2. Phase I consists of the Property, and Phase II will consist of the Additional Real Estate.

16. "Property" The real property described in Exhibit A, all improvements constructed or to be constructed thereon, and all the easements, rights and appurtenances belonging thereto.

17. "Rules and Regulations" The Rules and Regulations governing the operation and use of the Property as approved from time to time by the Board of Directors pursuant to Article VII, Section 5.

18. "Unit Owner" A declarant who owns a Unit or a Person to whom ownership of a Unit has been conveyed or otherwise transferred, but excluding a holder of an interest as "security for an obligation" within the meaning of Section 515A.1-103(17) of the Act. The term "Unit Owner" includes, without limitation, contract for deed vendees and holders of a life estate.

19. "Units" Units are defined in Sections 19a and 19b below. The word "Unit" when used in this Declaration shall refer collectively to Residential and Garage Units.

a. "Residential Unit" A part of the Property within a Building, including one or more rooms or enclosed spaces, occupying part of one or more floors, designed and intended for use as a one family dwelling, as described in Article II and shown on the Floor Plans.

b. "Garage Unit" A part of the Property within a Building, designed and intended for parking of Unit Owners' and Occupants' vehicles, as described in Article II and shown on the Floor Plans.

ARTICLE II

DESCRIPTION OF UNITS AND APPURTENANCES

1. There is a total of 58 Units, consisting of 26 Residential Units and 32 Garage Units, subject to the creation of additional Units as provided in Article III. Each Unit shall constitute a separate freehold estate. The designation and location of the existing Units are as shown on the Floor Plans, which are a part of this Declaration.

2. Unit boundaries are as follows:

a. Residential Units - Each Residential Unit shall include and occupy the space enclosed by its peripheral walls and ceilings, and the unfinished peripheral floor, including, but not limited to, such things as the plasterboard, wallboard, plaster, paneling, and finishing materials; provided, that any load bearing portions of any interior or exterior walls, ceilings or floors shall be Common Elements. The boundary of each Residential Unit shall also extend along the inside surface of its exterior doors and windows (including frames), and such doors and windows shall be deemed to be Limited Common Elements appurtenant to such Unit.

b. Garage Units - The dimensions of the Garage Units are as shown on the Floor Plans. The horizontal boundaries of each Garage Unit shall be the bottom surface of the ceiling and the upper surface of the floor of such Garage Unit. The vertical boundaries are the surfaces of any walls, or the planes rising vertically from the center line of any stripes painted or otherwise marked on the garage floor for the purpose of designating such boundaries.

3. If any chute, flue, duct, pipe, wire, conduit, bearing wall, bearing column, or any other such component or fixture lies partially within and partially outside the designated boundaries of a Unit, any portion thereof which does not affect the function of any other Unit or the Common Elements and serves only that Unit is a Limited Common Element allocated exclusively to that Unit, and any portion thereof serving or affecting the function of more than one Unit or any portion of the Common Elements is a part of the Common Elements.

4. Any shutters, awnings, screens, window boxes, doorsteps, stoops, balconies, patios or similar appurtenances, and all exterior doors and windows or other fixtures designed to serve only a certain Unit, but located outside the Unit's boundaries, are Limited Common Elements allocated exclusively to that Unit.

5. Subject to the provisions of Sections 2, 3 and 4 of this Article, all spaces, interior partitions and fixtures and improvements within the boundaries of a Unit are a part of the Unit.

6. Each Unit shall have appurtenant easements for ingress and egress to a public street or highway on and across adjoining Common Elements as shown on the Floor Plans and as described in the Declaration, and shall have appurtenant easements of enjoyment on and across the Common Elements.

7. Each Unit shall be subject to and shall be the beneficiary of appurtenant easements for all services and utilities servicing the Units and the Common Elements, and for maintenance and repair as described in Article IX.

8. All rights, easements and other appurtenances burdening or benefiting a Unit shall be inseparable from that Unit and shall burden and benefit the respective Unit Owners and Occupants and their guests. Neither the Governing Documents nor the Association shall restrict access to utilities or ingress and egress to and from any Unit or any Limited Common Elements appurtenant thereto.

9. No Unit nor any part of the Common Elements may be subdivided or partitioned without the prior written approval of all Unit Owners and First Mortgagees, except as provided in Article III.

ARTICLE III

RIGHTS TO ADD ADDITIONAL REAL ESTATE, RELOCATE UNIT BOUNDARIES AND ALTER UNITS

1. Rights to Relocate Boundaries and Alter Units. Existing or future Residential Units may be altered and Unit boundaries may be relocated only in accordance with the following conditions:

a. A Unit Owner may make improvements or alterations to such Unit or, may, after acquiring an adjoining Unit, remove or alter any intervening partition or create apertures therein in accordance with Section 515A.2-113 of the Act and Section 1.d. of this Article.

b. The boundaries between adjoining Units may be relocated in accordance with Section 515A.2-114 of the Act, and Section 1.d. of this Article.

c. No Unit Owner may subdivide or convert a Unit into two or more Units, and Declarant may not subdivide or convert Units into other Units, Common Elements or Limited Common Elements.

d. The alteration, relocation of boundaries or other modification (herein collectively referred to as "alteration") of existing or future Units pursuant to this Article and of the Act may be accomplished only in accordance with each of the following conditions:

(1) No Unit may be altered if, thereafter, the Unit, or any other Unit affected by the alteration, no longer remains habitable or practicably useable for its intended purpose or violates any law, code or ordinance of any governmental authority having jurisdiction over the Property.

(2) No modification may be made which adversly affects the structural or functional integrity of any Building system or the structural support or weathertight integrity of any portion of any Building.

(3) Each Unit resulting from relocation of boundaries shall be at least 700 square feet in area and shall have at least one living room, one kitchen, one bedroom, one bathroom, two separate exterior windows, and direct, exclusive access to a Common Element corridor or entryway.

(4) The prior written consent of the Association and any holder of an interest as security for an obligation of the Units to be altered shall be required for the alteration of existing or future Units. Such consent shall be requested in writing by the Unit Owner or Owners whose Unit(s) are proposed to be altered, accompanied by such explanation of the proposed alterations and specifications relating thereto as may be reasonably requested by the Association or the holder of an interest as security for an obligation. The Association and the holder of an interest as security for an obligation shall give such Unit Owner(s) notice in an expeditious manner, granting, denying or qualifying their consent. Prior to consenting to such improvements the Association or the holder of an interest as security for an obligation may require the Unit Owner(s) to provide such items, among others, as (i) a hold harmless and indemnification agreement in favor of the Association, the holder of an interest as security by an obligation and/or other Unit Owner(s), (ii) a bond to cover mechanics liens, (iii) reasonable assurances that all alterations and improvements will be done in a workmanlike manner and without impairing the structural, mechanical or weathertight integrity of the Building, and (iv) reasonable assurances that the Common Elements and altered Units will be repaired and/or restored in the future as required by the Association.

(5) Any alteration as provided herein shall be subject to the rights of any holder of an interest as security for an obligation as set forth in Article XIV and to such additional requirements as may be imposed in such case by the Federal National Mortgage Association ("FNMA") or the Federal National Home Loan Mortgage Corporation ("FHLMC") in connection with mortgage financing for the Unit.

2. Declarant Rights to Add Additional Real Estate. Declarant hereby explicitly reserves the right to add Additional Real Estate to the Property pursuant to Section 515A.2-111 of the Act and in accordance with the following conditions.

a. Declarant reserves the right to add to the Property the Additional Real Estate described in Exhibit C, which is contiguous to the Property. The right of Declarant to add the Additional Real Estate shall lapse seven (7) years after the date of recording of this Declaration or upon earlier express written withdrawal of such right by Declarant or its assigns.

b. The Additional Real Estate will contain four (4) buildings with thirteen (13) Residential Units and sixteen (16) Garage Units each, for a total of 116 Units. All Residential Units created on the Additional Real Estate shall be restricted exclusively to residential use, and all Garage Units shall be restricted to the parking of vehicles.

c. All Buildings and Units erected upon the Additional Real Estate above shall be compatible with the other Buildings and Units which are part of the Property in terms of architectural style, quality of construction, and principal materials employed in construction and size. All contemplated improvements on the Additional Real Estate shall be substantially completed prior to annexation.

d. All covenants and restrictions contained in this Declaration affecting the use, occupancy, and alienation of Units will apply to all Units created on the Additional Real Estate.

e. In additon to the Units, the Additional Real Estate will contain Common Element improvements such as paved roadways and parking areas, sidewalks and landscaping, and Limited Common Element improvements such as balconies and decks.

f. The statements made in Subsections b, c, d and e above shall not apply in the event Additional Real Estate is not added to the condominium.

ARTICLE IV

VOTING RIGHTS, COMMON EXPENSES AND UNDIVIDED INTERESTS

The allocation to each Unit of an undivided interest in the Common Elements, a portion of the votes in the Association and a portion of the Common Expenses of the Association is as follows:

1. Voting rights, Common Expense obligations and undivided interests in the Common Elements are allocated to each Unit, and shall be allocated to any other Units created in accordance with Article III, on the basis of the proportion of area of each Unit to the total area of all Units. The allocations to the Units created by this Declaration are described in Exhibit B attached hereto and made a part hereof. The allocations and the rights and obligations accruing to Units created on the Additional Real Estate pursuant to Article III shall be effective as to the Additional Real Estate and the Unit Owners of Units created thereon as of the time of filing of the Amendment to the Declaration which annexes the Additional Real Estate in the office of the County Recorder in which filing is required by the Act.

2. The ownership of a Unit shall include the voting rights, Common Expense obligations and percentages of undivided interest in the Common Elements as set forth in Exhibit B, as amended from time to time to reflect any other Units created pursuant to Article III hereof, and said rights, obligations and interests and the fee title to the Units shall not be separated or separately conveyed. The allocation of the rights, obligations and interests set forth herein may not be changed, except in accordance with the Governing Documents and the Act.

3. The voting rights of the Unit Owners shall be governed by the Governing Documents and the Act. The Unit Owner, or some Person designated to act as proxy on behalf of the Unit Owner, and who need not be a Unit Owner, shall be entitled to cast the vote allocated to such Unit at all meetings of the Association.

4. Each Unit Owner shall be a member of the Association by virtue of such ownership, and shall remain as a member until such time as such Person is no longer a Unit Owner, at which point membership shall automatically cease. When more than one Person is a Unit Owner of any single Unit, all such Persons shall be members of the Association, but multiple ownership of a Unit shall not increase the voting rights allocated to such Unit nor authorize the division of the voting rights.

ARTICLE V

COMMON ELEMENTS AND LIMITED COMMON ELEMENTS

1. Common Elements

a. All of the Property not included within the Units represents Common Elements and is allocated to the Units in accordance with the percentages of undivided interest expressed in Exhibit B. The Common Elements include (but are not limited to) all the areas and items listed in this Article and as shown on the Floor Plans.

b. Common Elements shall, subject to the provisions of Article II, include such things as the land on which the Buildings are located, driveways or sidewalks, gardens, recreational areas or facilities, if any, trees, shrubs, foundations, bearing walls, columns or girders, roofs, decks, balconies, lobbies, stairways, windows and doors not a part of any Unit, corridors, common storage spaces outside the Unit, pipes, wires, conduit, utility connections, ducts, flues, chutes, and common heating and other mechanical systems, and any fixtures and appurtenances used in connection with the above items even though not specifically mentioned herein. Self-contained heating, ventilating and air-conditioning units contained in and servicing individual Units are a part of the respective Units that they service.

c. The Common Elements shall be subject to appurtenant easements for Building services, utilities, ingress and egress and enjoyment in favor of each Unit and its Unit Owners and Occupants, subject to the specific rights of Unit Owners and Occupants in Limited Common Elements appurtenant to their respective Units.

d. The Common Elements shall be subject to driveway and utilities easements in favor and for the benefit of the Additional Real Estate and the Unit Owners thereof, as more fully set forth in the Floor Plans and/or any recorded easement agreements.

e. Subject to the provisions of Article IX, all maintenance, repair, management and operation of the Common Elements shall be the responsibility of the Association, but nothing herein contained shall be construed so as to preclude the Association from delegating to a Person or Persons of its choice such duties as may be imposed upon the Association by the Governing Documents or the Act, and as are approved by the Board of Directors; provided that such delegation shall not relieve the Associations' officers and directors of their ultimate responsiblity for the performance of their duties under the Governing Documents and the Act.

f. Expenses incurred or to be incurred for the maintenance, repair, management and operation of the Common Elements shall be assessed and collected from the Unit Owners, in accordance with the provisions of Article VIII.

g. The undivided interest in the Common Elements allocated to a Unit is appurtenant to such Unit and is inseparable from that Unit.

2. Limited Common Elements The Limited Common Elements include those parts of the Property described as such in Article II; balconies and decks, which are allocated to the respective Units to which they are adjacent; and storage areas, which are allocated to the respective Residential Units as set forth in Exhibit B. Limited Common Elements are reserved for the exclusive use of the Owners and Occupants of the Units to which they are allocated, and the rights to the use and enjoyment thereof are automatically conveyed with the conveyance of such Units.

ARTICLE VI

RESTRICTIONS ON USE OF PROPERTY

Declarant, and all other Unit Owners, by their acceptance of a conveyance of an interest in the Property, covenant and agree that, in addition to restrictions which may be imposed by the Act and the Governing Documents, the use, operation, alienation and conveyance of the Property shall be subject to the following restrictions:

1. The Property shall be held, conveyed, encumbered, leased, used and occupied subject to all covenants, conditions, restrictions, uses, limitations and obligations expressed in the Governing Documents and the Act, as amended from time to time. All such covenants and obligations are in furtherance of a plan for the Property, and shall be deemed to run with the land and be a burden and benefit to Declarant, its grantees, successors and assigns and any Person occupying an Apartment or acquiring or owning an interest in the Property, their heirs, personal representatives, grantees, successors and assigns.

2. The Common Elements shall remain undivided, and no Unit Owner or Occupant may bring any action for partition or subdivision.

3. The Units shall be used by Unit Owners and Occupants and their guests as private residential dwellings only, and not for transient or hotel purposes, all as described in and authorized by the Governing Documents. All Unit Owners and Occupants and their guests shall have a right of quiet enjoyment in the Property, and shall use the Property in such a manner as will not unduly restrict, interfere with or impede the use thereof by other Unit Owners and Occupants and their guests.

4. No more than two (2) persons may utilize as a residence or otherwise occupy any one bedroom Residential Unit and no more than four (4) persons may so utilize or occupy any two bedroom Residential Unit. The Board of Directors may grant waivers of this requirement in the event of emergencies or extenuating circumstances.

5. Leasing of Units shall be allowed, subject to reasonable regulation by the Association, provided: (i) that, with the exception of a First Mortgagee in possession of a Unit following a default in a first mortgage, a foreclosure proceeding or any deed or other arrangement in lieu of foreclosure, no Unit Owner or Occupant shall be permitted to lease his Unit for transient or hotel purposes (any lease or rental arrangement for fewer than 30 days shall be deemed to be for such purposes), (ii) that no Unit may be subleased, (iii) that no Unit Owner or Occupant may lease less than his/her entire Unit, (iv) that any lease agreement shall be required to provide that the terms of the lease shall be subject in all respects to the provisions of the Governing Documents, the Rules and Regulations and the Act and that any failure of the lessee to comply with the terms of such documents shall be a default under the lease, (v) that all leases shall be required to be in writing, and (vi) that the Owner and/or Occupant of a leased Unit shall provide to the Association, upon request, a copy of the lease agreement (in executed or unexecuted form, as requested).

6. The Garage Units shall be used only for parking of Unit Owners' and Occupants' vehicles, and shall be subject to reasonable regulation by the Association. Title to Garage Units may be held only by Residential Unit Owners, and may be conveyed provided: (i) that any transfer, assignment or conveyance of any interest, other than a leasehold or security interest, in the Garage Unit to a Person other than a Unit Owner shall be prohibited, (ii) that Garage Units may be leased only to another Residential Unit Owner or Occupant, and only if there are no delinquent assessments against the leased Garage Unit, and (iii) that each Unit Owner shall at all times own at least one Garage Unit for each Residential Unit owned by such Unit Owner. Any lease of a Garage Unit shall terminate when either the lessee or lessor ceases to be a Unit Owner or Occupant. Any conveyance, agreement or transfer of any type made in contravention of the provisions of this Section shall be void.

7. The keeping of any pet on the Property shall be restricted according to provisions of the Association's Rules and Regulations as approved and amended by the Board of Directors from time to time; provided, however, that in no case may any type of fish, fowl, reptile, insect or animal be bred, or kept or maintained for commercial purposes, on the Property.

8. No use shall be made of the Property which would violate the then existing municipal ordinances or state or federal laws, nor shall any act or use be permitted which would cause an increase in insurance rates on the Property or otherwise tend to cause liability or unwarranted expense for the Association or any Unit Owner or Occupant.

9. No business, trade, occupation or profession of any kind, whether carried on for profit or otherwise, shall be conducted, maintained or permitted in any Unit or the Common Elements; except (i) a Unit Owner or Occupant residing in a Residential Unit may keep and maintain his/her business or professional records in such Unit and handle matters relating to his/her business by telephone or correspondence therefrom, provided that such uses do not involve any overt business activity such as bulk mailings or use of the Unit by customers or employees; (ii) the Association may maintain offices on the Property for management purposes and (iii) the Declarant may exercise its rights as set forth in Article XII.

10. No alteration or improvement, of any type, temporary or permanent, shall be made, or caused or suffered to be made, by any Unit Owner, Occupant or their guests in any part of the Common Elements without the prior written authorization of the Board of Directors or a committee appointed by it and compliance with Article III, Section 1.

11. All Units and Limited Common Elements are subject to entry, without notice and at any time, by an officer or member of the Board of Directors of the Association, or any public safety personnel, in case of emergency.

ARTICLE VII

ADMINISTRATION

The administration and operation of the Association and the Property, including but not limited to the acts required of the Association, shall be governed by the following provisions:

1. The operation and administration of the Association and the Property shall be governed by the Governing Documents, the Act and the Minnesota Non-profit Corporation Act (Minnesota Statutes Sections 317, et seq). The Association shall, subject to the rights of the Unit Owners set forth in the Governing Documents and the Act, be responsible for the management and control of the Property. The power and authority of the Association shall be vested in the Board of Directors and the officers of the Association, and the Association shall act through the Board of Directors and the officers, unless action or approval by the individual Unit Owners is specifically required by the Governing Documents or the Act. All references to the Association shall mean the Association acting through the Board of Directors and the officers, unless specifically stated to the contrary.

2. All agreements and determinations made by the Association in accordance with the powers and voting rights established by the Governing Documents and the Act shall be binding on all Unit Owners and Occupants and their guests, heirs, personal representatives, successors and assigns.

3. The By-Laws governing the operation and administration of the Association shall be in the form approved by the Association and recorded in the office of the County Recorder in which the Property is located.

4. The Board of Directors may delegate to a manager or managing agent the management duties imposed upon it by the Governing Documents and the Act, provided that such delegation shall not relieve the Association's officers and directors of the ultimate responsibility for the performance of their duties as prescribed by the Governing Documents and the Act.

5. The Board of Directors may approve and implement such reasonable rules and regulations as it deems necessary from time to time for the purpose of operating and administering the Association and regulating the use of the Property; provided that such rules and regulations are not inconsistent with the Governing Documents and the Act. Such rules and regulations shall be made effective only after reasonable prior notice has been given to the Unit Owners and Occupants.

6. All funds and real or personal property acquired by the Association, and any net proceeds from the operation of the Association, shall be held and used for the benefit of the Unit Owners for the purposes stated in the Governing Documents.

ARTICLE VIII

ASSESSMENTS BY ASSOCIATION

1. Assessments for Common Expenses of the Association shall be determined and assessed by the Board of Directors, in its sole discretion, and shall be paid by the Unit Owners to the Association, in accordance with the allocation of Common Expense obligations set forth in Exhibit B. The Association may assess any Common Expense associated with the maintenance, repair or replacement of a Limited Common Element against the Unit, or in equal shares against the Units, to which the Limited Common Element was assigned at the time the expense was incurred. The Association may assess any Common Expense, such as unique utilities costs or expenses arising from a repair or reconstruction project, benefitting fewer than all of the Units, among the Units benefitted, and such Common Expense shall be allocated among such benefitted Units in the ratio that their respective Common Expense liabilities bear to each other.

2. Each Unit Owner shall be personally liable for the share of the Common Expenses assessed against such Unit Owner's Unit. No Unit Owner may be exempted from liability for payment of his share of Common Expenses by waiver of use or enjoyment of the Common Elements, by absence from or abandonment of his Unit or by the waiver of any other rights of a Unit Owner or Occupant. The Association may invoke the charges, sanctions and remedies set forth in Article XVI, in addition to any remedies provided elsewhere in the Governing Documents or by law, for the purpose of enforcing its rights hereunder.

3. All sums assessed by the Association for Common Expenses shall constitute a lien on each such Unit from the date the assessment is payable, and shall be prior to all other liens except only:

a. A lien or encumbrance recorded before the recordation of this Declaration; and

b. The lien of real estate taxes and other governmental assessments or charges against a Unit; and

c. The lien of any recorded first mortgage against a Unit securing a First Mortgagee, as provided in Section 5 of this Article VIII.

4. A lien for Common Expenses may be foreclosed against a Unit under the laws of this state as if it were a lien under a mortgage containing a power of sale. The Association, or its authorized representative, shall have the power to bid in at the foreclosure sale and to acquire, hold, lease, mortgage and convey any Unit so acquired. The Unit Owner, by the acceptance of any conveyance of any interest in the Unit grants to the Association full authority, including without limitation a power of sale, to accomplish such foreclosure, acquisition and sale, together with the power and right to exercise any other remedy available under the laws of this state governing such foreclosures. The Association shall, in addition, have the right to pursue any other remedy at law or in equity against any Unit Owner who fails to pay any assessment or charge against his Unit. In any action brought by the Association against any Unit Owner to recover delinquent assessments, the Association shall further be entitled to recover all costs of the action, including without limitation interest on the delinquent amount at the maximum rate allowed by law and reasonable attorneys' fees.

5. Where the mortgagee of a first mortgage of record or other purchase of a Unit obtains title to the Unit as a result of foreclosure of the first mortgage, or a deed or other conveyance in lieu of foreclosure, such acquirer of title, his successors and assigns, shall not be liable for the share of the Common Expenses or assessments by the Association chargeable to such Unit which became due prior to the earlier of the acquisition of possession or title to such Unit by such acquirer. Such unpaid share of Common Expenses or assessments may, at the discretion of the Association, be deemed to be a lien against and a Common Expense collectible from all of the Units, including the acquired Unit, the acquirer and his successors and assigns, in accordance with their respective obligations for Common Expenses. Notice of a default of more than thirty (30) days in payment of any installment of any assessment for Common Expenses by any Unit Owner shall be given in writing to the First Mortgagee of that Unit (upon request) by the Secretary of the Association.

6. In a voluntary conveyance of a Unit the grantor and grantee shall be jointly and severally liable for all unpaid assessments made by the Association against the grantor for his/her share of the Common Expenses up to the time of conveyance, without prejudice to the grantee's right to recover from the grantor the amounts paid by the grantee therefor. However, any such grantee shall be entitled to a statement, in recordable form, from the Association setting forth the amount of the unpaid assessments against the Unit, and such grantee shall not be liable for, nor shall the Unit conveyed be subject to a lien for, any assessments existing at the date of such statement in excess of the amount therein set forth.

ARTICLE IX

MAINTENANCE AND REPAIR

The following provisions shall govern the maintenance, repair and replacement of the Property:

1. The Association shall, at its expense, be responsible for the maintenance, repair and replacement of all Common Elements and Limited Common Elements, except for routine housekeeping maintenance to the Limited Common Elements. The Association shall also be responsible for all incidental damage caused to a Unit or its Limited Common Elements by such work as may be done by it pursuant to this Section. Notwithstanding anything to the contrary in the Governing Documents, the Association may charge and assess the responsible Unit Owner or Occupant and his/her Unit for the cost of repairing and restoring any damage to the Common Elements, Limited Common Elements or other Units caused by such Owner or Occupant or their guests, or caused by any condition in the Unit or Limited Common Elements which the Unit Owner or Occupant has allowed to exist.

2. The Unit Owner shall, at his/her expense, be responsible for maintenance, repair and replacement as follows:

a. To maintain, repair and replace, at the Unit Owner's expense, all portions of the Unit, and to perform routine housekeeping maintenance with respect to any Limited Common Elements allocated to such Unit, except the portions thereof (if any) to be maintained, repaired and replaced by the Association; provided, however, that the Association may, from time to time, elect to assume a part or all of the Owners' responsibility for maintenance, repair and replacement of a part or all of the Limited Common Elements and/or may require that the Owners perform their obligations hereunder in accordance with certain standards established by the Association;

b. To perform his/her responsibilities in such manner as not to unreasonably disturb or cause a hazard to other persons residing within the Building or otherwise using the Property;

c. To promptly pay or reimburse the Association for any costs incurred by the Association to repair any damage to the Common Elements, Limited Common Elements or other Units, caused by a Unit Owner, Occupant or their guests, or caused by any condition in the Unit which the Unit Owner or Occupant has allowed to exist.

3. No Owner or Occupant shall:

a. Alter or otherwise decorate or change the appearance of any portion of the Common Elements or Limited Common Elements, nor make any major interior alterations to a Unit, or any alterations which affect the Common Elements or Limited Common Elements, unless prior written authorization is obtained from the Board of Directors, or a design review committee designated by it, and the standards contained in Article III, Section 1 are met;

b. Do anything that could jeopardize or impair the weathertight integrity, safety or soundness of any Building without prior written consent from the Board of Directors and compliance with the standards of Article III, Section 1, nor impair any easement without prior written consent from the Board of Directors and the Unit Owners for whose benefit such easement exists.

4. Unit Owners or Occupants shall promptly report to the Association any defect or need for repairs to the Common Elements or Limited Common Elements.

5. Each Unit and the Common Elements and Limited Common Elements are subject to appurtenant easements in favor of the Association for maintenance, repair and replacement of the Units and Common Elements. Each Unit Owner shall afford to the Association and its management agents and employees, access upon reasonable notice, to and through the Unit and its Limited Common Elements for maintenance, repair and replacement; provided that access may be had without notice and at any time in case of emergency pursuant to Article VI, Section 11.

ARTICLE X

INSURANCE

1. The Board of Directors of the Association shall, effective as of the date of the execution and delivery of a deed conveying the first Unit by the Declarant, obtain and maintain a master policy or policies of insurance in accordance with the requirements set forth in Section 515A.3-112 of the Act and the additional requirements set forth herein,and issued by a reputable insurance company or companies authorized to do business in the State of Minnesota, as follows:

a. Casualty insurance covering all risks of physical loss in an amount equal to one hundred percent (100%) of the insurable "replacement cost" of the Property exclusive of land, footings, excavation and other items normally excluded from coverage (but including all building service equipment and machinery). The policy or policies shall cover personal property owned in common by all of the Unit Owners or by the Association. The policy or policies shall also contain an "Inflation Guard" or an agreed amount endorsement, if available. Such insurance shall afford the following additional coverage if required by the Federal Home Loan Mortgage Corporation ("FHLMC") or the Federal National Mortgage Association ("FNMA") in connection with mortgage loan commitments issued by any First Mortgagees:

(1) If there is a steam boiler in any Building the policy shall afford protection against boiler explosion in such Building, evidenced by a broad form of boiler and machinery endorsement, in the minimum amount of $50,000 per accident per location.

(2) If any Building is located in an area identified by the Secretary of Housing and Urban Development as an area having special flood hazards, a "blanket" policy of flood insurance on the Property shall be maintained in the amount of the aggregate of the outstanding principal balances of the mortgage loans on the Apartments or the maximum limits of coverage available under the National Flood Insurance Act of 1968, as amended, whichever is less.

(3) If required, the policy shall cover sprinkler leakage, debris removal, cost of demolition, vandalism, malicious mischief, windstorm and water damage.

(4) If required, the policy shall cover demolition and contingent liability from operation of building laws endorsements, increased cost of construction, expansive earthquake damage and other applicable hazards.

In the event that the Association shall fail to pay currently the premiums due with respect to such insurance, then and in such event any First Mortgagee may make payment of such due premiums, and such payment so made by any First Mortgagee shall be a sum immediately due and owing by the Association to such First Mortgagee, together with interest at the highest rate allowed by law from the date of payment of the money by the First Mortgagee to the date of reimbursement by the Association. Any First Mortgagee shall have the right to sue upon and enforce the foregoing covenant for its benefit in the event that it shall advance money for the benefit of the Association and the Property, and this covenant shall have the same effect and stand in lieu of any separate agreement covering such rights between the Association and such First Mortgagee advancing funds. The Association is further authorized to enter into a separate agreement in favor of all First Mortgagees, which shall further authorize the First Mortgagee to secure its own replacement policy in the event that the insurance policy held by the Association fails to comply with the requirements of this Declaration.

b. Comprehensive public liability insurance covering the use, operation and maintenance of the Common Elements, with minimum limits of $1,000,000 per occurrence, against claims for death, bodily injury and property damage, and such other risks as are customarily covered by such policies for projects similar in construction, location and use to the Property. Such public liability insurance shall contain a "severability of interest" endorsement which shall preclude the insurer from denying the claim of a Unit Owner or Occupant because of negligent acts of the Association or other Unit Owners or Occupants. If required by FNMA or FHLMC in connection with a mortgage loan on a Unit, the coverage shall include liability related to employment contracts of the Association, water damage liability, liability for non-owned and hired automobiles, liability for property of others, and, if applicable, elevator collision, garage keeper's liability and host liquor liability.

c. Fidelity bond coverage against dishonest acts on the part of directors, officers, managers, trustees, employees or persons responsible for handling funds belonging to or administered by the Association if deemed to be advisable by the Board of Directors or required by FNMA or FHLMC in connection with mortgage loans on the Units. The fidelity bond or insurance shall name the Association as the named insured and shall be written in an amount equal to the greater of (i) the estimated maximum of Association funds, including reserves in the custody of the Association or managment agent at any given time during the term of the bond or (ii) a sum equal to three months aggregate assessments on all Units plus reserves. An appropriate endorsement to the policy to cover any persons who serve without compensation shall be added if the policy would not otherwise cover volunteers, or a waiver of defense based upon the exclusion of persons serving without compensation shall be added.

d. Workers' Compensation insurance as required by law.

e. Such other insurance as the Board of Directors may determine from time to time to be in the best interests of the Association and the Unit Owners.

2. All insurance premiums shall be assessed and paid as a Common Expense, and, in the event of a claim the Association may, at its discretion, charge any insurance deductible amounts back against the Unit Owners who caused the claim to be made or with respect to whose Units the claim arose.

3. All insurance coverage maintained by the Association shall be written in the name of, and the proceeds thereof shall be payable to, the Association (or a qualified Insurance Trustee selected by it) as trustee for the Unit Owners and other holders of an interest as security for an obligation, including First Mortgagees, which suffer loss. The Association, or any Insurance Trustee selected by it, shall have exclusive authority to negotiate and settle any claims or losses under any insurance policy maintained by the Association.

4. All policies of insurance shall contain waivers of subrogation by the insurer as to any claims against the Association, or a Unit Owner, and/or their respective agents, tenants or employees, and waivers of any defense based on co-insurance or of invalidity from any acts of the insured.

5. All policies of insurance and comprehensive liability insurance maintained by the Association shall provide that the policies shall not be cancelled or substantially modified, for any reason, without at least 30 days prior written notice to FHLMC and/or FNMA, whichever may be applicable, all of the insureds and all First Mortgagees of record. The Association further agrees to notify all First Mortgagees and FHLMC and/or FNMA, whichever may be applicable, in writing whenever the estimated damage to the Common Elements exceeds Ten Thousand ($10,000.00) Dollars, arising out of a single occurrence, or whenever the estimated damage with respect to any Unit covered by a mortgage purchased in whole or in part by FHLMC and/or FNMA, whichever may be applicable, exceeds One Thousand ($1,000.00) Dollars.

6. All policies of property insurance maintained by the Association shall provide that, despite any provisions giving the insurer the right to elect to restore damage in lieu of a cash settlement, such option shall not be exercisable (i) without the prior written approval of the Association (or any Insurance Trustee) or (ii) when in conflict with the provisions of any Insurance Trust Agreement to which the Association may be a party, or any requirement of law.

7. All policies of insurance maintained by the Association shall provide, where applicable, that such insurance may not be brought into contribution with any insurance purchased by Unit Owners or their First Mortgagees.

8. Each Unit Owner may obtain additional insurance at his own expense covering fire and other casualty to his Unit, his personal property and his personal liability, but all such insurance shall be subject to the provisions and requirements of Section 515A.3-112 of the Act.

9. All policies of insurance maintained by the Association shall provide that the coverage shall not be prejudiced by (i) any act or neglect of the Unit Owners when such act or neglect is not within the control of the Association or (ii) any failure of the Association to comply with any warranty or condition regarding any portion of the Property over which the Association has no control.

10. The Board of Directors of the Association shall, effective as of the date of the execution and delivery of a deed conveying the first Unit of Phase II, obtain and maintain coverage under a new or existing policy or policies of insurance insuring such Additional Real Estate and improvements in accordance with the requirements of this Article.

ARTICLE XI

RECONSTRUCTION, CONDEMNATION AND EMINENT DOMAIN

1. The obligations and procedures for the repair, reconstruction or disposition of the Property following damage to or destruction thereof shall be governed by the provisions of Section 515A.3-112(g) of the Act, and any repair or reconstruction shall be substantially in accordance with the plans and specifications of the Property as initially constructed and subsequently improved upon. Notice of substantial damage or destruction shall be given pursuant to Section 3 below.

2. In the event of a taking of any part of the Property by condemnation or eminent domain, the provisions of Section 515A.1-107 of the Act shall govern; provided, however, that notice shall be given pursuant to Section 3 below.

3. All First Mortgagees shall be entitled to receive notice of any condemnation proceedings or substantial destruction of the Property, and the Association shall give written notice thereof to all First Mortgagees promptly upon its request thereof. First Mortgagees shall be entitled to priority for condemnation awards in accordance with the priorities established by the Act and the Governing Documents, as their interests may appear.

ARTICLE XII

SPECIAL DECLARANT RIGHTS AND OBLIGATIONS

Declarant hereby reserves, for the period specified in Section 6 of this Article (unless a different period is specifically provided herein), the following special declarant rights within the meaning of Section 515A.1-103(18) of the Act:

1. To complete improvements indicated on the Floor Plans and/or allowed by the Declaration, as amended from time to time;

2. To add Additional Real Estate pursuant to Article III;

3. To subdivide and otherwise alter Units pursuant to Article III;

4. To construct, operate and maintain a sales office, model Units and other development, rental and sales facilities within Building B, Units No. B101, B102, B106 and B204. Declarant may display signs and other sales displays offering the Units for sale or lease on any Unit owned by Declarant and the Common Elements;

5. To have and use easements, for itself, its employees, contractors, representatives, agents and prospective purchasers through and over the Common Elements for the purpose of discharging its obligations and/or exercising its special Declarant rights; and

6. To control the operation and administration of the Association, including without limitation the power to appoint and remove the members of the Board of Directors pursuant to Section 515A.3-103 of the Act, until the earliest of: (i) voluntary surrender of control by Declarant, (ii) an Association meeting held within 60 days after conveyance of 75% of the Residential Units which Declarant has reserved the right to build pursuant to Article III of the Declaration to Unit Owners other than a declarant, or (iii) the date five (5) years following the date of the first conveyance of a Residential Unit to a Unit Owner other than a declarant.

ARTICLE XIII

AMENDMENTS

This Declaration may be amended by the vote of Unit Owners (other than Declarant or any successor or affiliate of a declarant) who have at least two-thirds (2/3) of the voting power of the members, computed in accordance with the percentages as set forth in Exhibit B, (i) in writing, or (ii) at a meeting of the Association duly held in accordance with the provisions of the By-Laws; provided that until the expiration of the period of Declarant control specified in Article XII, this Declaration may not be amended without Declarant's prior written consent. Any amendment shall be subject to the rights of First Mortgagees as set forth in Article XIV and such greater requirements as may be imposed by the Act, and shall be effective only when recorded in the office of the County Recorder for the county in which the Property is located. In the case of an amendment by vote at a meeting of the Unit Owners, an acknowledgement by the Secretary or other officer of the Association as to the procedural sufficiency of the vote shall be adequate evidence thereof for all purposes, including without limitation the recording of the amendment.

ARTICLE XIV

RIGHTS OF FIRST MORTGAGEES

Notwithstanding anything to the contrary in the Governing Documents, but subject to provisions of the Act and other applicable state and federal laws, First Mortgagees shall have the following rights and protections:

1. Any amendment or addition to any material provisions of the Governing Documents which establishes, provides for, governs or regulates any of the following matters shall, in addition to the required consent of the Owners as set forth in Article XIII, also require the prior written approval of the First Mortgagees holding mortgages on Units to which are allocated at least fifty-one (51%) of the votes in the Association.

a. Voting;

b. Assessments, assessment liens or subordination of such liens;

c. Reserves for maintenance, repair and replacement of the Common Elements;

d. Insurance or Fidelity Bonds;

e. Rights to use of the Common Elements;

f. Responsibility for maintenance and repair of the several portions of the Property;

g. Expansion or contraction of the Property or the addition, annexation or withdrawal of property to or from the Property;

h. Boundaries of any Unit;

i. The interests in the general or Limited Common Elements;

j. Convertibility of Units into Common Elements or of Common Elements into Units;

k. Leasing of Units;

l. Imposition of any right of first refusal or similiar restriction on the right of any Unit Owner to sell, transfer, or otherwise convey a Unit;

m. Any provisions which are for the express benefit of mortgage holders, eligible mortgage holders or eligible insurers or guarantors of first mortgages on Units.

2. The consent of First Mortgagees holding mortgages on Units to which are allocated at least sixty-seven (67%) of the votes in the Association is required to abandon or terminate the condominium, except as provided by law in the case of substantial destruction by casualty or in the case of a taking by condemnation or eminent domain.

3. No Unit may be partitioned or subdivided without the prior written approval of the Owner thereof, the Association and the First Mortgagee thereof.

4. The right of a Unit Owner to sell, transfer, or otherwise convey his or her Unit shall not be subject to any right of first refusal or similar restrictions.

5. Any First Mortgagee, or any purchaser at a foreclosure sale, that comes into possession of a Unit by foreclosure of the mortgage or by deed or assignment in lieu of foreclosure, will take the Unit free of any claims for unpaid assessment or

any other charges or liens imposed against the Unit by the Association which have accrued against such Unit prior to the acquistion of possession of the Unit by said First Mortgagee or purchaser, except for a share of such assessments or charges resulting from and based upon a reallocation of the same among all Units in accordance with their percentages of interest in the Common Elements.

6. All taxes, assessments and charges which may become liens prior to the first mortgage under state law shall relate only to the individual Units and not to the Property as a whole.

7. No provision of the Governing Documents shall give an Owner, or any other party, priority over any rights of the First Mortgagee of the Unit pursuant to its mortgage in the case of a distribution to such Owner of insurance proceeds or condemnation awards for losses to or a taking of the Unit and/or the Common Elements. The Association shall give written notice to all First Mortgagees of any condemnation or eminent domain proceeding affecting the Property promptly upon receipt of notice from the condemning authority.

8. The term of any agreement for professional management of the Property, or any other contract providing for services of the Declarant, sponsor, or builder, may not exceed two (2) years. Any such agreement must provide at a minimum for termination by either party, with cause upon thirty (30) days prior written notice, and without cause and without payment of a termination fee upon ninety (90) days or less prior written notice. In addition, when professional management of the Property has been previously required by any First Mortgagee as a condition in satisfying FNMA or FHLMC lending requirements, and in fact utilized by the Association, any decision to discontinue professional management and establish self-management by the Association shall require the prior consent of (i) Unit Owners of Units to which at least two-thirds (2/3) of the votes in the Association are allocated and (ii) the approval of First Mortgagees holding mortgages on Units to which are allocated at least fifty-one percent (51%) of the votes in the Association.

9. First Mortgagees shall have the right to examine the books and records of the Association upon reasonable notice during normal business hours, and to receive, upon written request, copies of the Association's audited annual reports and other financial statements (free of charge) within ninety (90) days of the end of the Association's fiscal year. The requirement that such statements and/or reports be audited may be waived by FNMA.

10. Upon written request to the Association, identifying the name and address of the First Mortgagee, insurer or guarantor and the Unit number or address, any First Mortgagee, insurer or guarantor will be entitled to timely written notice of:

a. Any condemnation loss or any casualty loss which affects a material portion of the Property or any Unit on which there is a first mortgage held, insured, or guaranteed by such eligible First Mortgagee or eligible insurer or guarantor (as defined by FNMA), as applicable;

b. Any delinquency in the payment of assessments or charges owed by an Owner of a Unit subject to a first mortgage held, insured or guaranteed by such First Mortgage or eligible insurer or guarantor, which remains uncured for a period of 60 days;

c. Any lapse, cancellation or material modification of any insurance policy or fidelity bond maintained by the Association;

d. Any proposed action which would require the consent of a specified percentage of eligible First Mortgagees as specified in Sections 1 and 2 of this Article.

11. The Association shall make available to First Mortgagees, Unit Owners and insurers or guarantors of any first mortgage, correct copies of the Governing Documents, upon request and during normal business hours. The Association may charge a reasonable fee for providing such documents.

ARTICLE XV

ENCROACHMENTS

If there is an encroachment by a Unit upon the Common Elements or upon another Unit, or by the Common Elements upon a Unit, or by an improvement on any Additional Property upon the Property as a result of the construction, reconstruction, repair, shifting, settlement or movement of the Property or the Additional Property, an appurtenant easement for the encroachment and for the maintenance thereof shall exist for so long as the encroachment exists. Such encroachments and easements shall not affect the marketability of title.

ARTICLE XVI

COMPLIANCE AND DEFAULT

Each Unit Owner and Occupant shall be governed by and comply with the provisions of the Act, the Governing Documents, the decisions and resolutions of the Association, and such amendments thereto as may be made from time to time. A failure to comply shall entitle the Association (and/or Unit Owners in certain stated instances) to the relief set forth in this Article, in addition to the rights and remedies authorized elsewhere herein by the By-Laws and the Act.

1. A Unit Owner or the Association may commence legal action to recover sums due, for damages, injunctive relief, foreclosure of lien or any combination thereof, or an action for any other relief authorized by the Governing Documents or available at law or in equity. Relief may be sought by the Association or, if appropriate, by an aggrieved Unit Owner, but in no case may any Unit Owner or Occupant withhold any assessments due and payable to the Association, or take (or omit) other action in violation of the Governing Documents, the Rules and Regulations or the Act, as a measure to enforce such Unit Owner or Occupant's position, or for any other reason.

2. In addition to any other remedies or sanctions, expressed or implied, administrative or legal, the Association shall have the right, but not the obligation, to implement any one or more of the following actions against Unit Owners and Occupants and/or their guests, who violate the provisions of the Governing Documents, the Rules and Regulations or the Act:

a. Impose interest charges, at the highest rate allowed by law, for any delinquent assessment payments.

b. Impose reasonable charges for late payment of assessments.

c. In the event of default of more than 30 days in the payment of any assessment or installment thereof, all remaining installments of assessments assessed against the defaulting Unit Owner or Occupant may be accelerated and shall then be payable in full, forthwith at the call of the Board of Directors. Prior written notice of such acceleration shall be given to the defaulting Unit Owner or Occupant.

d. Impose reasonable fines, penalties or charges for each violation of the Act, the Governing Documents or the Rules and Regulations of the Association.

e. Suspend the rights of any Unit Owner or Occupant and their guests to use any recreational facilities or Common Elements; except Limited Common Elements appurtenant to their Unit and those portions of the Common Elements providing utilities service and ingress and egress to such Unit Owner's or Occupant's Unit. Such suspensions shall be limited to periods of default by such Unit Owners and Occupants in their obligations under the Governing Documents, and for up to 30 days thereafter, for each violation.

f. Restore any portions of the Common Elements or Limited Common Elements which were damaged or altered, or suffered to be damaged or altered, by any Unit Owner or Occupant or their guests in violation of the Governing Documents, and to assess the cost of such restoration against the responsible Unit Owner or Occupant.

g. Enter any Unit or Limited Common Element in which, or as to which, a violation or breach of the Governing Documents exists which materially affects or is likely to affect in the near future the health, safety or welfare of the other Unit Owners or Occupants, or the safety or soundness of the Building or other parts of the Property, and to summarily abate and remove, at the expense of the violating Unit Owner, any structure, thing or condition that may exist in the Unit. In such case neither the Association, nor its officers or directors nor any public safety official assisting them shall be deemed guilty in any manner of a trespass.

h. Foreclose any lien arising under the provisions of the Governing Documents or under law, in the manner provided for the foreclosure of mortgages under a power of sale in the state where the Property is located.

Any assessments, charges, fines, penalties or interest imposed under this Article shall be a lien against the Unit of the Unit Owner or Occupant against whom the same are imposed in the same manner and with the same priority as a lien for Common Expenses, and shall also be a personal obligation of such Unit Owner or Occupant. The lien shall attach as of the date of imposition of the remedy, but shall not be final as to violations appealed under Section 3 of this Article until affirmed in writing following the hearing. All remedies shall be cumulative, and the exercise of, or failure to exercise, any remedy shall not be deemed a waiver of the right to pursue any others.

3. In the case of imposition of any of the remedies authorized by Section 2d, 2e, 2f and 2g (except for emergencies) of this Article XVI, the Board of Directors shall cause to be mailed or delivered to the Unit Owner or Occupant against whom the remedy is sought to be imposed written notice specifying the general nature of the violation and the remedy to be imposed, which notice must be delivered at least 10 days prior to the effective date of such imposition. Said Unit Owner or Occupant shall have the right, upon written request delivered to the Board of Directors within the foregoing 10 day period, to a hearing before the Board of Directors, or a committee of no fewer than three disinterested Unit Owners appointed by the Board of Directors to hear such matters. The hearing shall be set by the Board of Directors at a

reasonable time and place, with reasonable notice to the parties involved, but in no case later than 30 days after the request for a hearing. The Board of Directors shall establish, and make known to all parties involved, uniform and fair rules for the conduct of such hearings. If a hearing is requested, the remedy imposed shall not take effect until the hearing is completed or the matter is otherwise resolved by mutual agreement of the Board of Directors and all Unit Owners or Occupants charged with the violation, whichever event occurs first. The decision of the Board, or the hearing committee, and the rules for the conduct of hearings established by the Board, shall be final and binding on all parties. The decision shall be delivered in writing to the Unit Owner or Occupant charged with the violation.

4. In any legal or arbitration proceeding arising between the Association and a Unit Owner or Occupant, or between Unit Owners or Occupants, because of an alleged default or violation by a Unit Owner or Occupant, the Association, if it is awarded part or all of the relief it seeks, shall be entitled to recover (and assess against the violator and the violator's Unit(s)) interest on any delinquent amounts owed to the Association, at the highest rate allowed by law, and the expenses and costs of the proceeding, including without limitation such reasonable attorneys' fees as may be determined by the court or arbitration board. In any other action, legal or administrative, which the Association takes against a violating Owner or Occupant to enforce the provisions of the Governing Documents or Rules and Regulations, and which is not finally determined by a court or arbitrator, the Association may charge or assess the violator and his/her Unit with any expenses incurred in connection with such enforcement, including without limitation reasonable attorneys fees, and interest (at the highest rate allowed by law) on the delinquent amounts owed to the Association according to its records.

5. A Unit Owner or Occupant shall be liable for the expense of any maintenance, repair or replacement of the Property rendered necessary by his/her willful acts or negligence, or by that of their guests, but only to the extent that such expense is not met by the proceeds of insurance carried by the Association or such Unit Owner or Occupant. Notwithstanding the foregoing, any insurance deductible amount and/or increase in insurance rates occasioned by such use, misuse, occupancy or abandonment of the Common Elements or of any Unit or its appurtenances may be charged or assessed against the Unit Owner or Occupant responsible for the condition and the Unit. Nothing herein contained, however, shall be construed so as to modify any waiver by insurance companies of rights of subrogation.

ARTICLE XVII

REAL ESTATE TAXES

The Act provides that each Unit is to be taxed as a separate parcel of real property by the state or its local taxing subdivision. In the event that, for any year, such taxes are not separately assessed and taxed to each Unit, but are assessed and taxed on the Property as a whole, then each Unit Owner shall be responsible for a share thereof in accordance with the respective percentage of undivided interest in the Common Elements allocated to each Unit owned by such Unit Owner.

ARTICLE XVIII

MISCELLANEOUS

1. If any term, covenant, provision or any portion of this instrument or any exhibit attached hereto is held to be invalid or unenforceable for any reason whatsoever, such determination shall not be deemed to alter or affect or impair in any manner whatsoever any other portion of this instrument or exhibits.

2. Where applicable the masculine gender of any word used herein shall mean the feminine or neutral gender, or vice versa, and the singular of any word used herein shall mean the plural, or vice versa.

3. The right of a Unit Owner to sell, transfer or otherwise convey his/her Unit shall not be subject to any right of first refusal or any similar restriction in favor of the Association.

4. In the event that any incident occurs which could reasonably give rise to a demand by the Association against Declarant for indemnification pursuant to Section 515A.3-111 of the Act, the Association shall promptly tender the defense of the claim or action to its insurance carrier and give Declarant written notice of such tender and the specific nature of the claim or action.

5. In the event of any conflict among the provisions of the Act, the Declaration, the By-Laws or any Rules and Regulations approved by the Association, the Act shall control. As among the Declaration, By-Laws and Rules and Regulations, the Declaration shall control, and as between the By-Laws and the Rules and Regulations, the By-Laws shall control.

IN WITNESS WHEREOF, Declarant has executed this instrument the day and year first set forth.

SUMMERHILL ASSOCIATES, a Minnesota partnership

By: DMB Development Co., a Minnesota corporation, a partner

By: Diane M. Bump
Its: President

STATE OF MINNESOTA)
) SS
COUNTY OF HENNEPIN)

The foregoing instrument was acknowledged before me this 17th day of MARCH, 1982, by Diane M. Bump, as President of DMB Development Company, a Minnesota corporation, a partner in Summerhill Associates, a Minnesota partnership, on behalf of said corporation and said partnership.

GARY N. CONNER
NOTARY PUBLIC — MINNESOTA
RAMSEY COUNTY
My commission expires Sept. 30, 1988

Gary N. Conner
Notary Public RAMSEY County, Minnesota

My Commission Expires: Sept 30, 1988

This instrument drafted by
FROMMELT, EIDE & REITE, LTD.
Attorneys at Law
2200 First Bank Place West
Minneapolis, Minnesota 55402
(612) 332-2200

LEGAL DESCRIPTION OF PROPERTY

Lot 1, Block 1, Northwestern Financial Center 3rd Addition, according to the plat thereof on file and of record in the office of the County Recorder, in and for Hennepin County, Minnesota.

EXHIBIT A TO
DECLARATION

SCHEDULE OF UNITS AND ALLOCATION OF COMMON ELEMENT INTERESTS, VOTES AND COMMON EXPENSE LIABILITIES

RESIDENTIAL UNITS

Unit Number	Type	Allocation Expressed as a Percentage	Approximate Area in Square Feet	Designated Storage Area
A101	IV	3.680	980	AS1
A102	IV	3.680	980	AS2
A103	VI	3.754	1000	AS7
A104	V	3.680	980	AS4
A105	II	2.665	710	AS5
A106	I	2.665	710	AS6
A201	IV	3.680	980	AS3
A202	IV	3.680	980	AS8
A203	III	3.153	840	AS9
A204	III	3.153	840	AS10
A205	V	3.680	980	AS11
A206	II	2.665	710	AS12
A207	I	2.665	710	AS13
B101	IV	3.680	980	BS1
B102	IV	3.680	980	BS2
B103	VI	3.754	1000	BS7
B104	V	3.680	980	BS4
B105	II	2.665	710	BS5
B106	I	2.665	710	BS6
B201	IV	3.680	980	BS3
B202	IV	3.680	980	BS8
B203	III	3.153	840	BS9
B204	III	3.153	840	BS10
B205	V	3.680	980	BS11
B206	II	2.665	710	BS12
B207	I	2.665	710	BS13

KEY: The letter preceding the Unit Number and Storage Area designates the Building in which they are located. The Unit Types are as follows:

Type I One Bedroom
Type II One Bedroom (corner)
Type III One Bedroom (loft)
Type IV Two Bedrooms/Two Bathrooms
Type V Two Bedrooms/Two Bathrooms
Type VI One Bedroom and Den/Two Bathrooms

GARAGE UNITS:

There are sixteen (16) Garage Units in each of Buildings A and B for a total of 32 Garage Units. Garage Units in Building A and B are designated AG1 through AG16 and BG1 through BG16 respectively. Each Garage Unit is approximately 120 square feet in area and the percentage allocation of Common Elements Interests, Votes and Common Expense Liabilities for each Garage Unit is .45.

EXHIBIT B
TO DECLARATION

LEGAL DESCRIPTION OF ADDITIONAL REAL ESTATE

Lot 2, Block 1, Northwestern Financial Center 3rd Addition, according to the plat thereof on file and of record in the office of the County Recorder, in and for Hennepin County, Minnesota.

EXHIBIT C TO DECLARATION